SYSTEM NAME	**RISK MANAGEMENT** PROCEDURE
SYSTEM NUMBER	RNSWP001
PURPOSE & SCOPE	To ensure that a procedure is established, implemented and maintained for managing WHS risks and opportunities.
CONNECTING DOCUMENTS	RNSWF001 Corporate Risk Register RNSWF002 SWMS Review Checklist

TERM	DEFINITION
Hazard	Condition or situation which has the potential to cause injury or illness damage to property and the environment.
Risk	A negative effective of uncertainty
Opportunity	A positive effective of uncertainty
Risk Management	The overall process of risk identification, risk analysis, control of risks and risk evaluation
Risk Control	The part of risk management which involves the implementation of policies, standards, procedures and physical changes to eliminate or minimize adverse risks

TASK	STEPS	FREQUENCY	POSITION
The Risk Management Methodology	The below methodology is used to identify, assess, control and review risks and opportunities within the business. 1. **Identify the risk or the opportunity** 2. **Assess the risk or opportunity** 3. **Implement a control or an action plan for the risk or opportunity** 4. **Evaluate the effectiveness of controls or actions**	-	HSEQ Team
Assess the risk or opportunity	All risk and opportunities are to be assessed and provided with a rating to best determine the action and priority. **<u>Assessing a risk</u>** 1. Review the Risks associated with the raised risk and record in the Risks section 2. Assess the severity of the risk using table S2 Severity 3. Assess the likelihood of the risk using the table S3 Likelihood 4. Using both scores from the previous two steps, determine the Risk Rating using the S1 Risk Matrix table.	-	HSEQ Team

TASK	STEPS	FREQUENCY	POSITION
	Assessing an Opportunity 1. Review the Opportunities associated with the raised risk and record in the Opportunity section 2. Assess the benefit of the risk using table S6 Benefit 3. Assess the likelihood of the risk using the table S7 Likelihood 4. Using both scores from the previous two steps, determine the Opportunity Rating using the S5 Risk Matrix table.		
Implement a control or an action plan for the risk or opportunity	**Controlling a Risk** Each risk identified must have a control to ensure that it is either eliminated or at least reduced. The following steps is a process used to identify what control measures are needed: 1. **Elimination** – Can the Hazard be eliminated? 2. **Substitution** – Can the process/hazard be reduced by substituting it with another process? 3. **Isolation** – Can the hazard be isolated? 4. **Engineering controls** – Can machinery, engineering devices be used to control the hazard? 5. **Administration controls** – What procedures and training can be put in place to reduce this hazard? 6. **Personal Protective Equipment** – Can PPE be used to reduce this hazard? Once the list of controls is complied, they must be implemented by prioritising from highest risk to the lowest risk. **Controlling an Opportunity** Analysis of any opportunity will generally result in one of the following possible determinations: • Pursue the opportunity • Explore the opportunity in greater detail before proceeding • Accept the opportunity, but under limited and controlled conditions • Decline the opportunity, typically based on a high expected risk or low anticipated benefit	-	HSEQ Team

TASK	STEPS	FREQUENCY	POSITION
Evaluate the Effectiveness of controls	Review the controls that have been in place and evaluated whether the controls have either eliminated or reduces the risk surrounding the hazard and or opportunity.	-	HSEQ Team
Corporate Risk Register	All corporate risks are documented in the overall **RNSWF001 Corporate Risk Register.** This risk register sets out at a high level, all Medium to High Risks and required controls. This is not a site or project specific register. The **RNSWF001 Corporate Risk Register** is review and updated as per the following: • At least annually • When any changes to legal or standard requirements • When any changes to processes based on incident reviews, corrective actions, industry updates and methods etc. • The corporate risk register is to be approved by management upon each change.	As Required	Management
Implementation of this at all locations excluding projects	All RNSW controlled sites are to reflect this risk management plan. The **RNSWF030 Project Inspection** is to be complete to ensure all items on the Risk Register are implemented and compliant.	As required / Every Site	HSEQ Team
IMPLEMENTATION ON SITE WORKS/ PROJECTS			
Implementation on projects	All site management works are to reflect this risk management plan on each project. Based on the initial risk review of each project, the required risk management documents are established. This could include but not limited to: • Project Management plan/s • Project Risk Register • Safe Work Method Statements • Safe Work Instructions	As required / Every Site	HSEQ Team
Develop or Review Safe Work Method Statements	Controls identified during the Risk Review Meeting or recorded in the **Project risk register** must be included in the documented with in the Project Risk Register with in the HSEQ Project Plan. A SWMS must be prepared and followed for all **high-risk activities.** All SWMS whether RNSW or a subcontractor, must be reviewed using the **RNSWF002 SWMS Review Checklist**. SWMS must be always updated and held on the project.	As required / Every Site	Project Managers

TASK	STEPS	FREQUENCY	POSITION
Monitor & Continually Improve	All project control measures (including critical risk controls) must be: • Implemented and maintained. • Regularly monitored and inspected for effectiveness. • Updated in management plans, SWMS and work instructions as required; and • Communicated to effected work crews. • Updated after incident and injury reviews. • Updated for lessons learnt upon risk reviews	Daily	Site Team/ Contractors

RECORDS MANAGEMENT				
NAME	**FILE LOCATION**	**RETENTION PERIOD**	**DISPOSAL METHOD**	**RESPONSIBLE**
Corporate Risk Register	Smartsheet	7 years	Delete	HSEQ Manager
Hazard/NCRs	Smartsheet	7 years	Delete	HSEQ Manager
Risk Assessments	Smartsheet	7 years	Delete	HSEQ Manager
SWMS	Project Records	7 years	Delete	HSEQ Manager
Risk Review Training	Training Register	7 years	Delete	HSEQ Manager

Appendix A – Risk & Opportunity Matrix

RISK MATRIX

Table S1 Criticality Matrix

Likelihood of Occurrence (L)	Severity Rating of Impact (S)				
	Extreme	Serious	Significant	Minor	Negligible
Certain	25	20	15	10	5
Occasionally	20	16	12	8	4
Probable	15	12	9	6	3
Unlikely	10	8	6	4	2
Improbable	5	4	3	2	1

Table S2 Severity Rating

Rating	Severity (S)	Safety	Environmental	Financial	Reputation	Interruption to Services
1	Negligible	SligSTG, no potential risk of injuries,	negligible environmental effect	< $50K or 5% of Operational Budget	Unsubstantiated, low impact, low profile or no news items	< 1/2 day
2	Minor	Minor injuries or minor equipment damage,	minimal environmental effect	$50K - $250K or 10% of Operational Budget	Substantiated, low impact, low news profile	1/2 - 1 day
3	Significant	Significant injuries or multiple minor injuries	minor environmental effect	$250K - $3M or 25% of Operational Budget	Substantiated, public embarrassment, moderate impact, moderate news profile	1 day to < 1 week
4	Serious	Severe/multiple injuries	major environmental effect that can be controlled	$3M - $10M or 50% of Operational Budget	Substantiated, public embarrassment, high impact, high news profile, third party actions	1 week - 1 month
5	Extreme	Death and/or serious structural damage	major environmental effect that cannot be controlled	> $10M or >50% of Operational Budget	Substantiated, public embarrassment, very high multiple impacts , high widespread news profile, third party actions	> 1 month

Table S3 Likelihood Rating

Rating	Likelihood (L)	Definition
1	Improbable	A highly unlikely event
2	Unlikely	An unlikely event, but could occur if control measures are disregarded
3	Probable	An event which may occur despite existing control measures
4	Occasionally	An event which is likely to occur unless control measures are improved
5	Certain	An event which will definitely occur unless immediate controls are applied

Table S4 Scoring Matrix

The risk rating (R) is calculated by multiplying the likelihood (L) by the severity (S), L × S = R. In this way, the potential of an impact or risk affecting operations is evaluated according to its perceived severity.

Score	Risk (R)	Definition	Acceptable Risk Level	Authority to Proceed
1-4	Low	Activities in this category present minimal levels of impact or risk and are unlikely to occur, proceed with these activities as planned and monitor against objectives	**Accepted**	Not Required
5-9	Medium	Activities in this category present minor levels of impact or risk. The application of risk management strategies to reduce the impact or risk is advised. Consider ways of modifying the process or implementing controls to reduce the impacts and risks to as low as reasonably practicable (ALARP)	**Accepted with Required Controls**	Not Required
10-14	Serious	Activities in this category present serious and unacceptable levels of impact or risk. Consider ways of modifying the process and implementing controls to reduce the impacts and risks to as low as reasonably practicable (ALARP). Additional control measures and monitoring may be required	**Accepted with Required Controls**	Manager
15-19	High	Activities in this category present high levels of impact or risk and should not be allowed to proceed without very careful planning. Consider consulting specialists. The company should evaluate whether the activity is actually necessary in the first place or whether alternative processes are available	**Accepted with Required Controls**	WHS Manager/ Management

20-25	Extreme	Activities in this category present extreme levels of impact or risk, such as loss of life or breach of legislation and **must not be undertaken**	**NOT Accepted**	-

OPPORTUNITIES MATRIX

Table S5 Criticality Matrix

Likelihood of Occurrence (L)	Benefit Rating of Opportunity (S)				
	Major benefit	Good Benefit	Significant Benefit	Minor Benefit	Limited Benefit
Certain	25	20	15	10	5
Occasionally	20	16	12	8	4
Probable	15	12	9	6	3
Unlikely	10	8	6	4	2
Improbable	5	4	3	2	1

Table S6 Benefit Rating

Rating	Severity (S)	Business	Environmental	Safety
1	Low Benefit	No new business, Higher cost, little improvement in reputation	No Improvement in compliance, Minor reduction in environmental impact	No Improvement in compliance, employee satisfaction and culture.
2	Minor Benefit	little new business, Higher cost, little improvement in reputation	Improvement in compliance, Minor reduction in environmental impact	Improvement in compliance, employee satisfaction and culture.
3	Significant Benefit	New business potential, even cost of Implementation, increase in reputation	Significant improvement in compliance, new marketing opportunities and significant reduction in environmental impact	Significant Improvement in compliance, significant employee satisfaction and culture change
4	Good Benefit	New business and expansion , average cost of implementation and increase in reputation	Good improvement in compliance, new marketing opportunities and Good reduction in environmental impact	Good Improvement in compliance and new business opportunities, employee satisfaction and culture
5	Major benefit	Increase in new business, average cost of implementation and very good increase in reputation	Major improvement in compliance, new marketing opportunities and Major reduction in environmental impact	Major Improvement in compliance and new contract opportunities, Major employee satisfaction and culture

Table S7 Likelihood Rating

Rating	Likelihood (L)	Definition
1	Improbable	A highly unlikely event
2	Unlikely	An unlikely event, but could occur.
3	Probable	An event which may occur.
4	Occasionally	An event which is likely to occur.
5	Certain	An event which will definitely occur.

Table S8 Scoring Matrix

The risk rating (R) is calculated by multiplying the likelihood (L) by the severity (S), L × S = R. In this way, the potential of an impact or risk affecting operations is evaluated according to its perceived severity.

Score	Risk (R)	Definition
1-4	Low	Activities in this category present minimal levels of certainty in relation to the opportunity. Hold a meeting to discuss this.
5-9	Minor	Activities in this category present low levels of certainty in relation to the opportunity. Hold a meeting to discuss this in further detail and revaluate
10-14	Significant	Activities in this category present some levels of certainty in relation to the opportunity. Hold a meeting to discuss this and maybe research this more. Maybe accept the opportunity with some limitations
15-19	Good	Activities in this category present higher levels of certainty in relation to the opportunity. Hold a meeting to discuss this. Look to proceed with the actions.
20-25	Major	Activities in this category present a certainty in relation to the opportunity. Hold a meeting to discuss this moving forward with the programme.

Appendix B – High Risk Construction Work

High risk construction work includes:

- Work that involves a risk of a person falling more than two metres.
- Work on a telecommunication tower.
- Demolition of an element of a structure that is load bearing or otherwise related to the physical integrity of the structure.
- Work that involves, or is likely to involve, the disturbance of asbestos.
- Structural alterations or repairs that require temporary support to prevent collapse.
- Work in or near a confined space.
- Work in or near a shaft or trench with an excavated depth greater than 1.5 metres.
- Work in or near a tunnel.
- Use of explosives.
- Work on or near pressurised gas distribution mains or piping.
- Work on or near chemical, fuel, or refrigerant lines.
- Work on or near energised electrical installations or services.
- Work in an area that may have a contaminated or flammable atmosphere.
- Work involving tilt-up or precast concrete.
- Work on, in or adjacent to a road, railway, shipping lane or other traffic corridor that is in use by traffic other than pedestrians.
- Work in areas in which there is movement of powered mobile plant.
- Work in areas in which there are artificial extremes of temperature.
- Work in or near water or other liquid that involves a risk of drowning.
- Work that involves diving work.